Agentic AI & Finance

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Empowering Ethical and Secure Digital Colleagues in Banking & Markets

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Why Agentic AI Matters in Finance

- Transitioning from automation to autonomy
  - AUTOMATION
    - Rule-based systems that execute pre-defined tasks
    - Common in areas like transaction processing, batch reporting, and robotic process automation (RPA)
    - Improves efficiency and reduces human error, but limited to structured inputs and predictable scenarios
  - AUTONOMY
    - AI-driven agents that can perceive, reason, and act toward goals
    - Operate with adaptive decision-making, not just rule-following
    - Can learn from data, adjust to changing conditions, and collaborate with humans

Why Agentic AI Matters in Finance

- AI is becoming a proactive, strategic partner
- Enables resilience, speed, and insight in financial operations

Function	Traditional Automation	Agentic Autonomy
Fraud Detection	Rule-based flagging (e.g., unusual amounts)	Context-aware agents that adapt to evolving fraud patterns and explain their logic
Portfolio Management	Rebalancing based on set thresholds	AI agents that analyze markets, suggest strategies, and act within client-defined risk bounds
Customer Service	Chatbots answering FAQs	Digital assistants that understand intent, escalate issues, and learn over time

Finance Use Cases: Digital Colleagues in Action

Real-time reconciliation and anomaly detection

- Traditional Reconciliation:
  - Typically done overnight or at end-of-day in batches.
  - Compares records across systems (e.g., bank ledger vs. trading platform) to identify mismatches.
  - Manual follow-up needed for resolution.
- Agentic AI can:
  - Continuously monitor data streams from multiple sources (e.g., trades, payments, custodians)
  - Autonomously flag mismatches or delays as they happen
  - Automatically triage, escalate, or even correct certain issues using predefined rules and context

Finance Use Cases: Digital Colleagues in Action

Autonomous trading agents

- Autonomous trading agents in finance are AI-driven software programs that make independent trading decisions based on goals, data, and real-time market conditions—without needing human input for each trade
- Autonomous agents:
  - **Analyze** market data, trends, and patterns
  - **Decide** when to buy or sell based on strategy (e.g., momentum, arbitrage, sentiment)
  - **Act** in real time, executing trades at scale
  - **Learn** over time, adjusting strategies using machine learning

Finance Use Cases: Digital Colleagues in Action

AI agents for compliance and fraud monitoring

AI agents for compliance and fraud monitoring represent a transformative shift in how financial institutions protect integrity, detect risk, and ensure regulatory alignment—in real time and at massive scale. Here's a breakdown:

- What Are AI Agents in Compliance & Fraud?
- These are autonomous, goal-driven systems that continuously monitor transactions, behaviors, and operational patterns to:
  - Detect non-compliance with laws (e.g., AML, KYC, GDPR, trading conduct)
  - Identify potential fraud before it causes financial or reputational damage
  - Recommend or even automate corrective actions

From Automation to Orchestration

- AGENTS PLAN, CHOOSE, AND ACT

- ADAPTIVE WORKFLOWS THAT EVOLVE

- MORE THAN JUST EXECUTING TASKS: UNDERSTANDING GOALS

Area	Automation	Orchestration
Trade Operations	Auto-fill forms and send orders	Agent checks market conditions, routes order, updates risk system, triggers compliance review
Onboarding	ID verification and doc collection	Agent assesses risk profile, triggers due diligence steps, and connects to credit and legal workflows
Loan Processing	Auto-decision on credit score	Agents coordinate income verification, fraud screening, and real-time regulatory checks

Collaborative Intelligence: Humans + Agents

- HUMANS FOCUS ON STRATEGY AND OVERSIGHT

- AGENTS HANDLE VOLUME, REPETITION, AND ADAPTABILITY

- CENTAUR MODEL: HUMAN-AI PARTNERSHIP

Use Case	Human Role	AI Agent Role
Portfolio Management	Define goals, risk appetite	Analyze markets, suggest trades, adjust strategies
Compliance Monitoring	Set ethical boundaries, interpret gray areas	Detect anomalies, flag suspicious behavior
Client Service	Handle relationship nuance, negotiation	Answer FAQs, suggest solutions, log interactions
Underwriting	Review edge cases or exceptions	Score applications, gather risk data, flag inconsistencies

Ethical, Trustworthy Agentic Design

- GOVERNANCE, TRANSPARENCY, FAIRNESS

- DEFINE BOUNDARIES AND RESPONSIBILITY

- BUILD TRUST THROUGH EXPLAINABLE AI

Area	Why Ethics Matters
Wealth Management	Biased advice or opaque decisions can erode client trust
Credit & Lending	Discrimination risk in loan approvals or credit scores
Compliance Monitoring	False positives or ignored anomalies create liability
Trading Agents	Agents could trigger unintended market moves if unbounded

Talent & Culture Shift in Financial Firms

- UPSKILLING IN AI FLUENCY AND ORCHESTRATION

- Not just in data or coding but in ethics, oversight, decision augmentation and agent orchestration

- BUILDING TRUST IN AI AS A COLLEAGUE

- Trust is not automatic; it grows with time; when AI is explainable; there is human oversight; teams are part of design and feedback loop

- CULTURAL READINESS AND ADAPTIVE LEADERSHIP

- Culture readiness starts from the top; measure productivity gains; align with employee performance goals; user-based training

Strategic Framework for Finance Leaders

- STRATEGY: ALIGN AI WITH BUSINESS OUTCOMES

- TECHNOLOGY: PLATFORM AND DATA READINESS

- GOVERNANCE: AGENT OVERSIGHT AND ACCOUNTABILITY

- PEOPLE: TRAINING AND CO-EVOLUTION

The Future: Agentic Economy for Finance

- Agents negotiating on behalf of clients
- Multi-agent ecosystems across institutions
- New business models powered by AI collaboration

AI Compliance in Financial Services

Regulatory & Systemic Risk Considerations

- Emergent behavior risk in complex systems
- Transparency and auditability essential
- Stay ahead of evolving regulation
- Ensure AI explainability and model documentation
- Align with global AI compliance initiatives (e.g., EU AI Act, U.S. SEC guidance)

Enhancing Ethical, Trustworthy Agentic Design

- Governance, transparency, fairness
- Define boundaries and responsibility
- Build trust through explainable AI
- Integrate AI compliance with internal audit and risk protocols

AI Compliance Framework

- Governance – Oversight bodies, policies
- Technology – Model monitoring, logging tools
- Processes – Risk assessment, incident response
- People – Training, ethical escalation channels

AI Compliance: What Financial Institutions Must Do Now

- Map AI use cases to compliance domains (AML, KYC, fair lending, privacy)
- Implement model risk management for AI agents
- Create AI ethics and compliance oversight boards
- Use AI governance tools for monitoring, logging, and documentation
- Train compliance and audit teams on AI literacy

Compliance and Risk

- Agents must operate within **pre-set guardrails** (e.g., risk limits, ethical constraints).
- Must be **auditable**, **explainable**, and **fail-safe**.
- Regulators (like the SEC or ESMA) closely monitor for **flash crashes**, manipulation, or systemic risks.

Conclusion

- Treat AI as a digital colleague, not just a tool
- Invest in trust, talent, and ethical design
- Drive innovation through human-AI collaboration
- Pilot in low-risk domains
- Build governance frameworks
- Upskill staff
- Scale responsibly
- Embed AI compliance into model lifecycle and governance

Q&A

Thank you! Open for questions.